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Greater China Semiconductors | Asia Pacific

PC Semis: Divergent gross margin trends

FOMP (fear of missing procurement) will likely drive stable shipments for PC semis into 3Q, yet profitability may vary.

Key Takeaways

- We expect PC semi shipments to sustain into 3Q, likely due to FOMP.
- With cost hikes (mainly from OSAT), supply chain management and customer mix will derive a divergent margin outlook.
- Overall we maintain our view that new growth drivers are needed, but adjust PT/earnings based on our demand outlook for 2H.

3Q demand outlook better than feared? We believe 3Q demand outlook for most PC semis could be stable – PC semi customers could maintain a flattish Q/Q procurement target, with key components (e.g. CPU) showing further sequential growth. Major driver could be FOMP, driven by overall mature foundry and OSAT tightness (limited supply/cost hikes). Some customers may consider low inventory risks if there's pent-up demand into 2027, suggesting increasing inventory digestion risks, especially when Windows activation day is approaching 200+.

Margin could show divergent trend: We expect all PC semis to try to pass through foundry/OSAT cost hikes to customers in 3Q. However, impact to gross margin could be different than during Covid, as overall tightness is not driven by PCs, but indirectly from servers. We believe design house scale, supply chain divergence and customer portfolios will derive differing margin outlooks; large IC design houses' strong supply chain management and comprehensive product mix (e.g. Novatek, Realtek) to maintain or even increase gross margin. Conversely, some small design houses may not see margin increase (e.g. Parade/Elan).

New growth drivers major rating factors: Prefer small design houses, mainly on emerging new growth drivers. Elan to benefit from non-PCs (mainly drones), with potential mid-high single digit revenue contribution in 2027. Parade likely to show high 2027 growth thanks to chipset ramp up. Conversely, we await new growth drivers from Novatek on cloud ASIC, which likely will take a longer time. We believe Realtek will ramp up 100G DSP in 2026, but 400G will be in 2028.

Maintain OW on Parade/Elan, Realtek EW and Novatek UW: Revise up Elan earnings ests mainly due to margin improvement and new revenue opportunities from non PC businesses – it is likely to gain some share in touch pads post Synaptics acquisition [announcement](#). Valuation is 17x 2026e P/E, undemanding vs IC design peers at ~30x. Trim Parade PT/earnings ests on lower GM assumption for major client Apple and its sales (higher Apple end-product pricing). Revise up Realtek's earnings ests/PT thanks to sustained 3Q outlook (both revenue and GM).

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GREATER CHINA TECHNOLOGY SEMICONDUCTORS

Asia Pacific

Industry View

Attractive

WHAT'S CHANGED

Elan Microelectronics Corp

(2458.TW)

Price Target

From

NT\$180.00

To

NT\$250.00

Parade Technologies Ltd

(4966.TWO)

Price Target

From

NT\$1,000.00

To

NT\$818.00

Realtek Semiconductor

(2379.TW)

Price Target

From

NT\$570.00

To

NT\$717.00

With this note, coverage of Elan Microelectronics (2458.TW) is transferred to Daniel Yen.

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Parade: Earnings Estimate Revisions

We cut our EPS estimates by 14%/14% for 2027/28: We factor in the lower GM assumption from its major client (Apple) and lower Apple sales (due to higher Apple end product pricing).

Exhibit 1: Parade: Summary of estimate revisions

NT\$ mn	Current 2026E	Previous 2026E	Diff.	Current 2027E	Previous 2027E	Diff.	Current 2028E	Previous 2028E	Diff.
Net sales	15,865	15,865	0%	18,478	20,041	-8%	20,064	21,808	-8%
COGS	9,215	9,205		10,597	11,458		11,400	12,344	
Gross profit	6,650	6,660	0%	7,881	8,583	-8%	8,665	9,464	-8%
Operating expenses	4,259	4,259		4,406	4,480		4,572	4,654	
Operating profit	2,390	2,401	0%	3,475	4,103	-15%	4,092	4,810	-15%
Non-op. income (exp.)	216	216		230	230		230	230	
Pretax Income	2,606	2,617	0%	3,705	4,333	-14%	4,322	5,040	-14%
Taxes	235	236		333	390		389	454	
Net income	2,371	2,381	0%	3,371	3,943	-14%	3,933	4,586	-14%
Reported Diluted EPS	30.34	30.47	0%	43.14	50.45	-14%	50.33	58.69	-14%
Margins									
Gross margin	41.9%	42.0%	0 ppt	42.7%	42.8%	0 ppt	43.2%	43.4%	0 ppt
Operating margin	15.1%	15.1%	0 ppt	18.8%	20.5%	-2 ppt	20.4%	22.1%	-2 ppt
Pretax margin	16.4%	16.5%	0 ppt	20.0%	21.6%	-2 ppt	21.5%	23.1%	-2 ppt
Net margin	14.9%	15.0%	0 ppt	18.2%	19.7%	-1 ppt	19.6%	21.0%	-1 ppt

Source: Morgan Stanley Research (E) estimates

Exhibit 2: Quarterly earnings summary

NT\$ in million	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	2025	2026E	2027E	2028E
Total Revenues	4,152	4,114	4,377	3,888	3,990	4,049	4,038	3,788	3,933	4,506	5,109	4,931	4,727	4,900	5,463	4,974	16,531	15,865	18,478	20,064
Sequential Change	0.8%	-0.9%	6.4%	-11.2%	2.6%	1.5%	-0.3%	-6.2%	3.8%	14.6%	13.4%	-3.5%	-4.1%	3.7%	11.5%	-9.0%				
Change vs Year Ago	8.8%	5.2%	-0.5%	-5.6%	-3.9%	-1.6%	-7.7%	-2.6%	-1.4%	11.3%	26.5%	30.2%	20.2%	8.6%	6.9%	0.9%	1.8%	-4.0%	16.5%	8.6%
Cost of Sales	2,385	2,341	2,517	2,254	2,382	2,326	2,320	2,187	2,257	2,583	2,926	2,831	2,694	2,776	3,097	2,832	9,496	9,215	10,597	11,400
Percent of Revenues	57%	57%	57%	58%	60%	57%	57%	58%	57%	57%	57%	57%	57%	57%	57%	57%	57%	58%	57%	57%
Gross Margin	1,767	1,774	1,860	1,634	1,608	1,723	1,718	1,601	1,676	1,922	2,183	2,100	2,033	2,124	2,366	2,142	7,035	6,650	7,881	8,665
Percent of Revenues	42.6%	43.1%	42.5%	42.0%	40.3%	42.5%	42.5%	42.3%	42.6%	42.7%	42.7%	42.6%	43.0%	43.3%	43.3%	43.1%	42.6%	41.9%	42.7%	43.2%
Incremental Margin	91%	NM	33%	NM	-26%	194%	NM	NM	52%	43%	43%	NM	NM	52%	43%	NM	46%	NM	47%	49%
Total Opex	1,110	1,065	1,048	1,103	1,068	1,055	1,074	1,063	1,089	1,096	1,125	1,116	1,126	1,135	1,161	1,150	4,326	4,259	4,406	4,572
Percent of Revenues	26.7%	25.9%	23.9%	28.4%	26.8%	26.1%	26.6%	28.1%	27.2%	24.3%	22.0%	22.6%	23.8%	23.2%	21.3%	23.1%	26.2%	26.8%	23.8%	22.8%
R&D	744	723	700	742	728	728	748	748	748	748	748	748	768	768	768	780	2,910	2,953	2,993	3,084
Percent of Revenues	17.9%	17.6%	16.0%	19.1%	18.3%	18.0%	18.5%	19.8%	19.0%	16.6%	14.6%	15.2%	16.2%	15.7%	14.1%	15.7%	17.6%	18.6%	16.2%	15.4%
General & administrative	156	143	134	136	136	136	136	136	136	136	136	136	136	136	136	136	569	545	545	545
Percent of Revenues	3.7%	3.5%	3.1%	3.5%	3.4%	3.4%	3.4%	3.6%	3.5%	3.0%	2.7%	2.8%	2.9%	2.8%	2.5%	2.7%	3.4%	3.4%	3.0%	2.7%
Selling & marketing	210	199	213	225	203	190	190	178	185	212	240	232	222	230	257	234	847	762	868	943
Percent of Revenues	5.1%	4.8%	4.9%	5.8%	5.1%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	4.7%	5.1%	4.8%	4.7%	4.7%
Operating Income	657	709	812	531	540	668	644	539	607	826	1,058	984	907	989	1,205	992	2,709	2,390	3,475	4,092
Percent of Revenues	15.8%	17.2%	18.6%	13.7%	13.5%	16.5%	15.9%	14.2%	15.4%	18.3%	20.7%	20.0%	19.2%	20.2%	22.1%	19.9%	16.4%	15.1%	18.8%	20.4%
Change vs Year Ago	25.7%	38.7%	7.8%	-20.1%	-17.9%	-5.7%	-20.8%	1.5%	12.4%	23.7%	64.4%	82.6%	49.4%	19.7%	13.9%	0.8%	10%	-12%	45%	18%
Total Non-operating Income(Loss)	71	69	69	65	42	59	58	57	57	57	57	57	57	57	57	57	273	216	230	230
Profit Before Taxes	728	777	881	596	582	727	702	596	664	883	1,116	1,041	964	1,046	1,262	1,049	2,982	2,606	3,705	4,322
Percent of Revenues	18%	19%	20%	15%	15%	18%	17%	16%	17%	20%	22%	21%	20%	21%	23%	21%	18%	16%	20%	22%
Taxes	64	75	66	51	53	65	63	54	60	80	100	94	87	94	114	94	256	235	333	389
Tax Rate	8.8%	9.6%	7.4%	8.6%	9.1%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	9.0%	8.6%	9.0%	9.0%	9.0%
Net Income, Cont Ops	664	702	816	544	529	661	638	542	605	804	1,015	947	877	952	1,149	955	2,727	2,371	3,371	3,933
Percent of Revenues	16%	17%	19%	14%	13%	16%	16%	14%	15%	18%	20%	19%	19%	19%	21%	19%	16%	15%	18%	20%
Change vs Year Ago	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	5%	-13%	42%	17%
Reported Income (TW GAAP)	664	702	816	544	529	661	638	542	605	804	1,015	947	877	952	1,149	955	2,727	2,371	3,371	3,933
Percent of Revenues	16%	17%	19%	14%	13%	16%	16%	14%	15%	18%	20%	19%	19%	19%	21%	19%	16%	15%	18%	20%
Change vs Year Ago	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	0%	5%	-13%	42%	17%
Reported EPS (NT\$, TW GAAP)	8.38	8.95	10.45	6.89	6.77	8.46	8.17	6.94	7.74	10.29	12.99	12.12	11.23	12.18	14.70	12.22	34.67	30.34	43.14	50.33
Change vs Year Ago	16%	25%	9%	-20%	-19%	-5%	-22%	1%	14%	22%	59%	75%	45%	18%	13%	1%	7%	-12%	42%	17%

Source: Morgan Stanley Research (E) estimates

Parade: Valuation Methodology

We cut our price target from NT\$1,000 to NT\$818: Our price target is our base case scenario value, which we continue to derive from a residual income model. Our bull and bear case scenario values are cut from NT\$1,600 to NT\$948, and from NT\$520 to NT\$418, respectively.

We reduce our intermediate growth rate from 11.9% to 11.4% to reflect updated outlook from its major customer. Other key assumptions are unchanged:

- 9.8% cost of equity (beta 1.3, risk-free rate 2% and risk premium 6%)
- Payout ratio of 50%
- Terminal growth rate of 4.0%

Exhibit 3: Parade: Residual income model

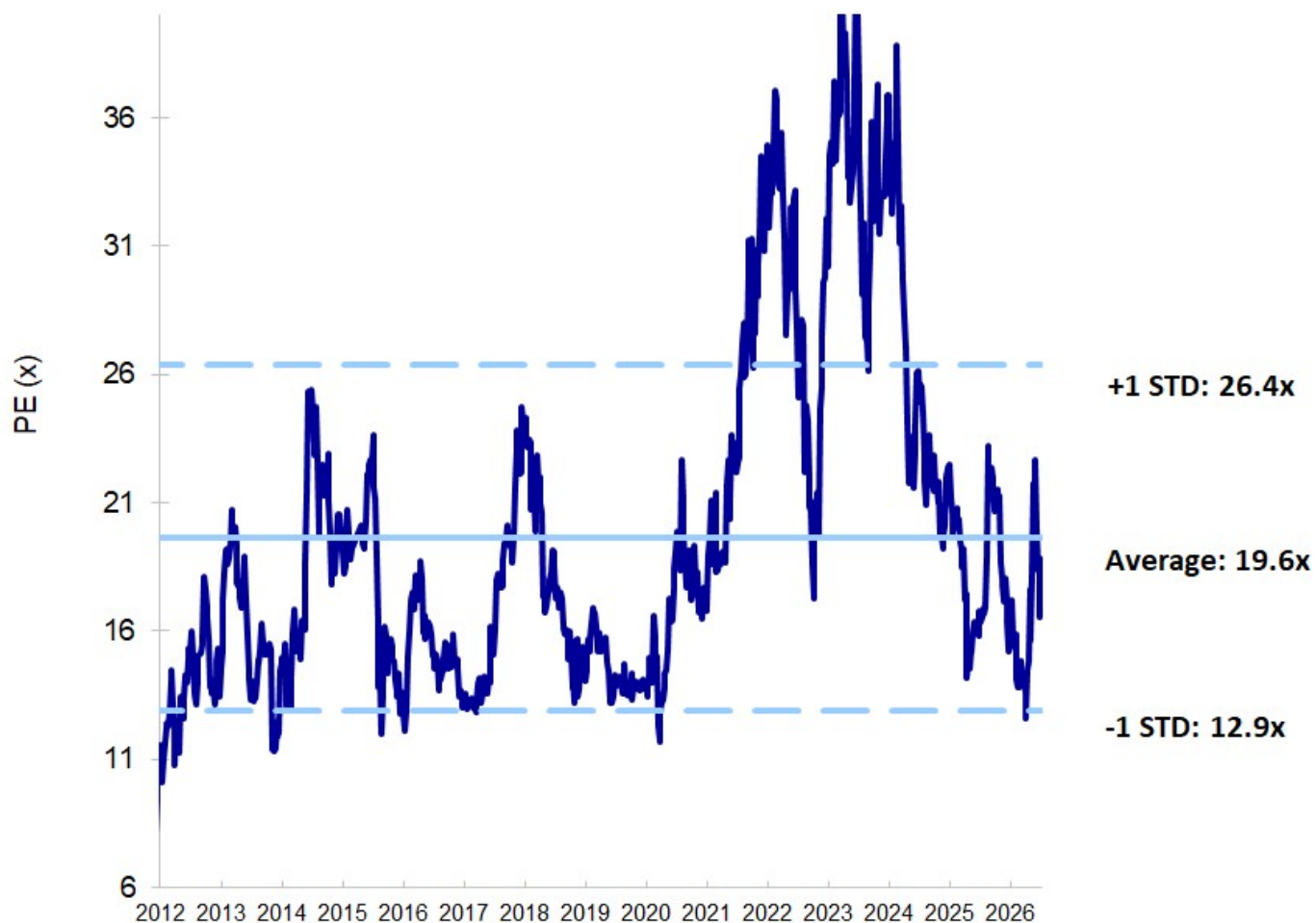
NT\$million	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E	2035E	2036E	2037E
Total Equity	23,110	25,304	27,564	29,974	32,659	35,650	38,983	42,696	46,832	51,441	56,575	62,295
Net Profit	2,371	3,371	3,933	4,382	4,882	5,439	6,059	6,751	7,521	8,379	9,335	10,400
ROAE	10.5%	13.9%	14.9%	15.2%	15.6%	15.9%	16.2%	16.5%	16.8%	17.1%	17.3%	17.5%
Residual Income	158	958	1,290	1,503	1,741	2,007	2,302	2,631	2,998	3,406	3,861	4,367
Spread	0.7%	4.1%	5.1%	5.5%	5.8%	6.1%	6.5%	6.8%	7.0%	7.3%	7.5%	7.7%
Ending Equity Capital	23,110											
PV of Forecast Period	12,632											
PV of Continuing Value	28,153											
Equity Value	63,895											
No. of Shares	78											
Projected Price	818											

Source: Morgan Stanley Research (E) estimates

Parade: Relative Valuation

Parade stock is trading at 22x our new 2026 EPS estimate, which we consider attractive vs. the historical average of 19.6x since 2012, as we view the chipset business as a meaningful new growth driver.

Exhibit 4: Parade: Historical P/E



Source: FactSet, Morgan Stanley Research

Risk Reward – Parade Technologies Ltd (4966.TWO)

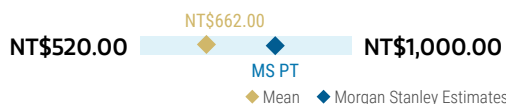
Share gain in chipset business; OW

PRICE TARGET NT\$818.00

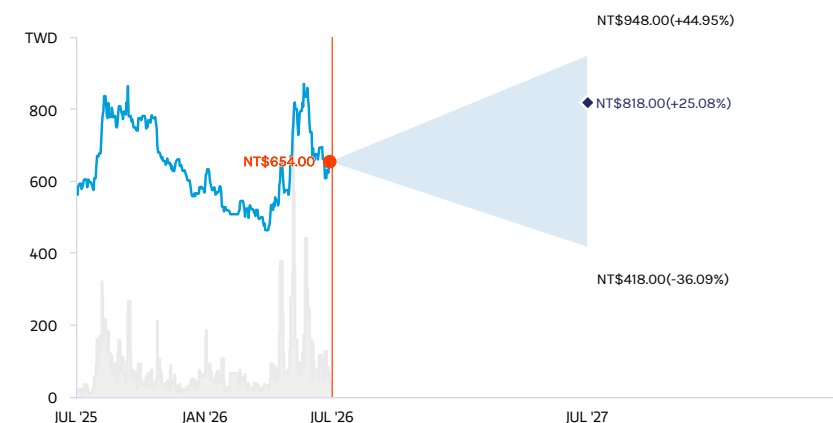
Base case, residual income model. Key assumptions: cost of equity (beta 1.3, risk-free rate 2%, risk premium 6%) of 9.8%, medium-term growth rate of 11.4%, and terminal growth rate of 4.0%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



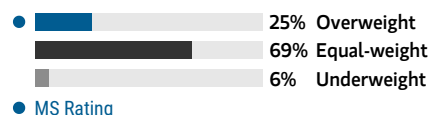
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Our OW rating reflects potential share gains in the ASIC-like business and better than feared 2H26 demand on NB (especially on Apple). We believe Parade could take some share in the chipset market, due mainly to better performance on power consumption.
- The PC market is likely to face strong headwinds amid a shortage of memory chips, which would be more apparent in 2H26. Parade now has 90% revenue exposure to PCs.
- For DisplayPort, low-end panel price competition should get worse before it gets better; the company is leveraging a high-end strategy to differentiate its products.
- For high-speed interface, Parade seeks to expand beyond the NB market to the data center and automotive markets.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$948.00

31x 2026e P/E

We expect: 1) significant share gain in the chipset market; 2) T-Con sales to grow 20% Y/Y in 2026; 3) high-speed interface to rise 30% in 2026; 4) overall gross margin of 50%+ in 2026-27; 5) Apple fails to make its in-house T-Con..

BASE CASE

NT\$818.00

27x 2026e P/E

We expect: 1) moderate share gain in the chipset market; 2) T-Con sales to drop 13% Y/Y in 2026; 3) high-speed interface to rise 7% in 2026; 4) overall gross margin of 42-43% in 2026-27; 5) Apple in-house T-Con event unlikely to occur in the next three years.

BEAR CASE

NT\$418.00

14x 2026e P/E

We expect: 1) no share gain in the chipset market; 2) T-Con sales to drop 20% Y/Y in 2026; 3) high-speed interface to drop 10% in 2026; 4) overall gross margin of ~40% in 2026-27; 5) Apple in-house T-Con event occurs.

Risk Reward – Parade Technologies Ltd (4966.TWO)

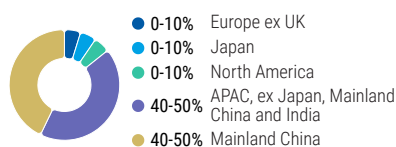
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
T-Con revenue (NT\$, mn)	6,396	5,539	5,792	5,440
High speed interface revenue (NT\$, mn)	7,662	8,176	9,266	10,657
Driver IC revenue (NT\$, mn)	1,980	1,290	1,066	949
Touch IC revenue (NT\$, mn)	546	860	817	731

INVESTMENT DRIVERS

- eDP Tcon shipments and spec upgrades
- Apple MacBook, iPad, and iMac shipments
- HDMI jitter cleaning shipments
- USB and PCI-e repeater shipments
- USB-C DP/HDMI shipments

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster-than-expected Apple product shipments and spec upgrades
- Faster-than-expected launch of next-gen server platform
- Easing of US tariffs

RISKS TO DOWNSIDE

- Slower-than-expected Apple product shipments and spec upgrades
- Intensifying competition in high-speed interface area for converters, switches, and redrivers/re timers
- Slower-than-expected launch of next-gen server platform

OWNERSHIP POSITIONING

Inst. Owners, % Active 75.3%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT\$, mn) 15,865 15,865 17,353 18,290

EBITDA (NT\$, mn) 2,712 2,712 3,338 3,721

Net income (NT\$, mn) 2,371 2,371 2,684 2,965

EPS (NT\$) 30.34 30.34 34.06 37.18

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Parade: Financial Summary

Exhibit 5: Parade: Financial Summary

Income Statement

NT\$m (Years End Dec)	2025	2026E	2027E	2028E
Net sales	16,531	15,865	18,478	20,064
COGS	(9,496)	(9,215)	(10,597)	(11,400)
Gross profit	7,035	6,650	7,881	8,665
Operating expenses	(4,326)	(4,259)	(4,406)	(4,572)
Operating income	2,709	2,390	3,475	4,092
Non-operating income	273	216	230	230
Pre-tax income	2,982	2,606	3,705	4,322
Income tax	256	235	333	389
Reported net income	2,727	2,371	3,371	3,933
Adj. wtd. avg. shrs (m)	80	78	78	78
Reported EPS (NT\$)	34.67	30.34	43.14	50.33

Balance Sheet

NT\$m (Years End Dec)	2025	2026E	2027E	2028E
Cash	10,900	12,071	13,617	15,489
Mkt Securities	0	0	0	0
AR/INR	1,858	1,642	1,913	2,077
Inventory	3,622	3,690	4,243	4,565
Other	589	589	589	589
Current Assets	16,969	17,992	20,363	22,720
Long-term investments	0	0	0	0
Fixed assets	298	308	318	328
Deferred assets	326	326	326	326
Other assets	8,363	8,363	8,363	8,363
Total Assets	25,956	26,989	29,370	31,737
S/T borrowings	0	0	0	0
AP/INP	1,240	1,243	1,429	1,537
Other ST liabilities	2,381	2,381	2,381	2,381
LT debt	0	0	0	0
Other LT liabilities	255	255	255	255
Common shares	801	801	801	801
Total Liabilities	3,877	3,879	4,065	4,174
Additional capital	4,421	4,421	4,421	4,421
Retained earning	16,846	17,877	20,071	22,330
Other shareholders' equity	12	12	12	12
Total Equity	22,080	23,110	25,304	27,564
Total Liab. & Shrhldr's Equity	25,956	26,989	29,370	31,737

E = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$m (Years End Dec)	2025	2026E	2027E	2028E
Cashflow from Operations	3,419	2,843	3,062	3,890
Net profits	2,727	2,371	3,371	3,933
Depreciation	315	322	328	335
Working Capital Change	99	150	(637)	(377)
Other adjustments	279	0	0	0
Cashflow from Investing	(308)	(332)	(338)	(345)
Capex	(139)	(332)	(338)	(345)
Change of LT Investment	0	0	0	0
Change of ST Investment	0	0	0	0
Other adjustments	(169)	0	0	0
Cashflow from financing	(2,468)	(1,340)	(1,177)	(1,674)
Increase in L/T debt	0	0	0	0
Increase in S/T debt	0	0	0	0
Cash Dividend Paid	(1,295)	(1,340)	(1,177)	(1,674)
Dir& Emp Bonus Paid	0	0	0	0
Issuance of stock	0	0	0	0
Other adjustments	(1,174)	0	0	0
Exchange rate adjustment	(275)	0	0	0
Net change in cash	368	1,171	1,546	1,872

Financial Ratios

	2025	2026E	2027E	2028E
Growth(%)				
Turnover	1.8	-4.0	16.5	8.6
Operating profits	10.5	-11.8	45.4	17.8
EPS	6.5	-12.5	42.2	16.7
Margins (%)				
Gross Margin	42.6	41.9	42.7	43.2
Operating Margin	16.4	15.1	18.8	20.4
Pretax Margin	18.0	16.4	20.0	21.5
Net Margin	16.5	14.9	18.2	19.6
Return (%)				
ROAE	12.3	10.5	13.9	14.9
ROAA	10.5	9.0	12.0	12.9
Gearing (%)				
Net Debt/Equity	(49.4)	(52.2)	(53.8)	(56.2)
Liabilities/Equity	17.6	16.8	16.1	15.1
Ratios (X)				
Current ratio	4.7	5.0	5.3	5.8
Cash ratio	3.5	3.8	4.1	4.5
Others				
AR/INR Turnover (days)	38	38	38	38
Inventory Turnover (days)	146	146	146	146
AP Turnover (days)	49	49	49	49
Cash Conversion (days)	135	135	135	135

Elan Micro: Earnings estimate revisions

We increase our EPS estimates by 10%/18%/19% for 2026/27/28: We believe Elan will be benefiting from the non PC business (mainly the drone market), with potential mid to high single digit revenue contribution in 2027. We also see better GM from better product mix, and more sustained supply chain shortage.

Exhibit 6: Elan: Estimate revisions

(NT\$ mn)	New '26e	Old '26e	Diff.	New '27e	Old '27e	Diff.	New '28e	Old '28e	Diff.
Net sales	13,886	13,615	2%	15,901	15,055	6%	16,713	15,450	8%
COGS	7,051	7,150		7,999	7,937		8,696	8,265	
Gross profit	6,836	6,466	6%	7,902	7,118	11%	8,017	7,185	12%
Operating expenses	3,300	3,282		3,572	3,518		3,622	3,562	
Operating profit	3,535	3,183	11%	4,330	3,600	20%	4,395	3,623	21%
Non-op. income (exp.)	254	254		187	187		176	176	
Pretax income	3,789	3,437	10%	4,517	3,787	19%	4,571	3,799	20%
Taxes	901	813		1,129	947		1,143	950	
Net income	3,004	2,740	10%	3,528	2,980	18%	3,568	2,989	19%
Reported EPS	10.49	9.57	10%	12.32	10.41	18%	12.46	10.44	19%
Margins									
Gross margin	49.2%	47.5%	1.7%	49.7%	47.3%	2.4%	48.0%	46.5%	1.5%
Operating margin	25.5%	23.4%	2.1%	27.2%	23.9%	3.3%	26.3%	23.4%	2.8%
Pretax margin	27.3%	25.2%	2.0%	28.4%	25.2%	3.3%	27.3%	24.6%	2.8%
Net margin	21.6%	20.1%	1.5%	22.2%	19.8%	2.4%	21.3%	19.3%	2.0%
Opex %	23.8%	24.1%	-0.3%	22.5%	23.4%	-0.9%	21.7%	23.1%	-1.4%

Source: Company data, Morgan Stanley Research (e) estimates.

Exhibit 7: Elan: Quarterly financial statement

(NT\$ mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	3,119	3,032	3,316	2,860	3,225	3,349	3,606	3,707	3,593	3,900	4,234	4,174	3,813	4,085	4,417	4,398	12,326	13,886	15,901	16,713
Sequential Change	2.7%	-2.8%	9.4%	-13.8%	12.8%	3.8%	7.7%	2.8%	-3.1%	8.5%	8.6%	-1.4%	-8.6%	7.1%	8.1%	-0.4%				
Change vs Year Ago	0.4%	-3.8%	-2.5%	-5.8%	3.4%	10.5%	8.7%	29.6%	11.4%	10.5%	17.4%	12.6%	6.1%	4.7%	4.3%	5.4%	-2.9%	12.7%	14.5%	5.1%
Cost of Sales	1,555	1,575	1,750	1,450	1,688	1,686	1,910	1,866	1,809	1,963	2,130	2,097	1,914	2,047	2,210	2,195	6,330	7,051	7,999	8,696
Percent of Revenues	50%	52%	53%	51%	52%	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%	50%				
Gross Profit	1,564	1,457	1,566	1,410	1,537	1,663	1,795	1,841	1,784	1,937	2,104	2,077	1,899	2,037	2,207	2,203	5,996	6,836	7,902	8,017
Percent of Revenues	50.1%	48.0%	47.2%	49.3%	47.6%	49.7%	49.8%	49.7%	49.7%	49.7%	49.7%	49.8%	49.8%	49.9%	50.0%	50.1%				
Incremental Margin	67%	NM	38%	NM	35%	102%	51%	45%	NM	50%	50%	NM	NM	51%	51%	NM				
Total Opex	778	712	774	748	758	803	869	871	806	871	952	943	856	919	1,000	993	3,014	3,300	3,572	3,622
Percent of Revenues	25.0%	23.5%	23.3%	26.2%	23.5%	24.0%	24.1%	23.5%	22.4%	22.3%	22.5%	22.6%	22.4%	22.5%	22.6%	22.6%	24.4%	23.8%	22.5%	21.7%
Operating Income	785	744	792	661	779	861	926	970	979	1,066	1,151	1,134	1,043	1,119	1,208	1,210	2,982	3,535	4,330	4,395
Percent of Revenues	25.2%	24.5%	23.9%	23.1%	24.1%	25.7%	25.7%	26.2%	27.2%	27.3%	27.2%	27.2%	27.4%	27.4%	27.3%	27.5%	24.2%	25.5%	27.2%	26.3%
Total Non-operating Income (Loss)	(66)	(324)	151	106	61	64	64	64	47	47	47	47	36	36	36	36	(132)	254	187	176
Profit Before Taxes	719	420	943	768	840	925	990	1,034	1,025	1,113	1,198	1,181	1,079	1,154	1,243	1,246	2,850	3,789	4,517	4,571
Percent of Revenues	23%	14%	28%	27%	26%	28%	27%	28%	29%	29%	28%	28%	28%	28%	28%	28%	23%	27%	28%	27%
Taxes	204	110	173	55	164	231	248	259	256	278	300	295	270	289	311	312	543	901	1,129	1,143
Tax Rate	28.4%	26.2%	18.3%	7.2%	19.5%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	25.0%	19.0%	23.8%	25.0%	25.0%
Reported Income (TW GAAP)	548	354	804	736	705	723	772	805	804	869	934	921	844	901	968	970	2,442	3,004	3,528	3,568
Percent of Revenues	17.6%	11.7%	24.3%	25.7%	21.9%	21.6%	21.4%	21.7%	22.4%	22.3%	22.0%	22.1%	22.1%	22.1%	21.9%	22.0%	19.6%	21.6%	22.2%	21.3%
Change vs Year Ago	-20%	-52%	13%	22%	29%	104%	-4%	9%	-14%	20%	21%	14%	5%	4%	4%	5%	-11%	23%	17%	1%
Reported EPS (NT\$, TW GAAP)	1.92	1.24	2.81	2.57	2.46	2.52	2.70	2.81	2.81	3.04	3.26	3.22	2.95	3.15	3.38	3.39	8.53	10.49	12.32	12.46
Change vs Year Ago	-20%	-52%	13%	22%	29%	104%	-4%	9%	-14%	20%	21%	14%	5%	4%	4%	5%	-11%	23%	17%	1%

Source: Company data, Morgan Stanley Research (e) estimates

Valuation Methodology

We raise our price target to NT\$250: This factors in our earnings estimates revisions for 2026-27. Our price target is our base-case scenario value, which we continue to derive from our residual income model. We raise our intermediate growth rate estimate from 8.0% to 10.0% due to a better outlook for the company's drone business. We continue to assume a cost of equity of 9.6%, a payout ratio of 80%, and a terminal growth rate of 4.5%.

We also raise our bull case scenario value to NT\$366 from NT\$263 and our bear case to NT\$131 from NT\$95.

Exhibit 8: Elan: Residual income

(NT\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e	2037e
Total Equity	11,822	13,335	14,537	15,636	16,845	18,175	19,637	21,246	23,016	24,963	27,104	29,460
Net Profit	3,004	3,528	3,568	3,925	4,317	4,749	5,224	5,746	6,321	6,953	7,648	8,413
ROAE	27.0%	28.0%	25.6%	26.0%	26.6%	27.1%	27.6%	28.1%	28.6%	29.0%	29.4%	29.7%
Residual Income	1,816	2,181	2,134	2,386	2,655	2,951	3,277	3,635	4,028	4,461	4,937	5,461
Spread	17.4%	18.4%	16.0%	16.4%	17.0%	17.5%	18.0%	18.5%	19.0%	19.4%	19.8%	20.1%
Ending Equity Capital	11,822											
PV of Forecast Period	18,953											
PV of Continuing Value	40,819											
Equity Value	71,594											
No. of Shares	286											
Projected Price	250											

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 9: Elan Microelectronics: P/E band

Source: Company data, TEJ, Morgan Stanley Research estimates

Risk Reward – Elan Microelectronics Corp (2458.TW)

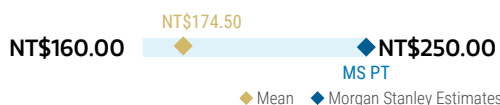
Content share gainer, plus non-PC business starting to bear fruit; OW

PRICE TARGET NT\$250.00

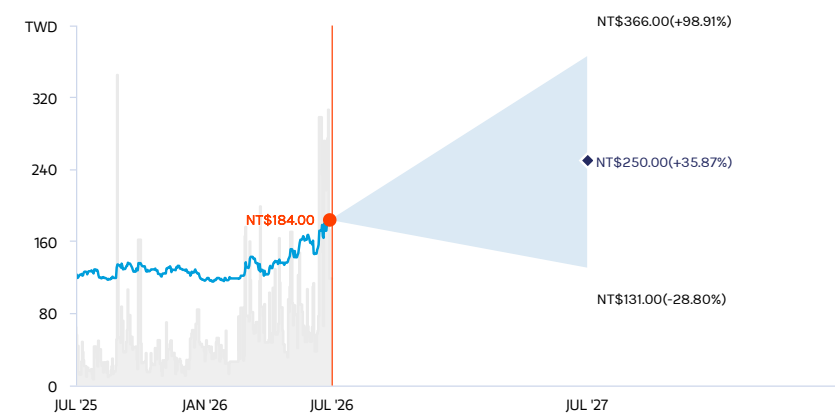
Residual income. We assume a cost of equity of 9.6%, an intermediate growth rate of 10.0%, payout ratio of 80% and terminal growth rate of 4.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

■ Elan Microelectronics is a global leader in notebook-related ICs, capturing 50%+ share of touchpad, point-sticks and other peripheral ICs.

■ We expect haptic touchpad penetration to increase as the Windows 11 operating system allows users to customize the feel of their touchpads.

■ Non-PC business such as drones, ADAS and AI glasses has started shipments and growth is expected to be robust over the next three years.

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$366.00

30x 2027e EPS

We expect AI PC to bring more content upgrades: 1) Elan Micro revenue CAGR of 15% (2025-28e); 2) non-PC contribution rises to 25% in 2027; 3) gross margin goes to 52% on average in 2026-28 vs. 49% in 2025.

BASE CASE

NT\$250.00

20x 2027e EPS

We expect the haptics touchpad and non-PC business to add growth: 1) Elan Micro revenue CAGR of 11% (2025-28); 2) non-PC contribution rises to 15% in 2027; 3) gross margin to be around 48-49% in 2026-28e.

BEAR CASE

NT\$131.00

11x 2027e EPS

We expect the notebook replacement cycle to stay at around four years over the next three years: 1) Elan Micro revenue CAGR (2025-28e) to be zero; 2) non-PC contribution stays at 10% in 2027; 3) gross margin falls to 40% on average in 2026-28e vs. 49% in 2025.

Risk Reward – Elan Microelectronics Corp (2458.TW)

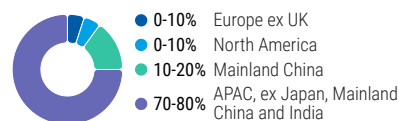
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Touchpad shipment growth (%)	(2)	(8)	10	(4)
Touchpad ASP growth (%)	1	8	8	4
Gross margin (%)	48.6	49.2	49.7	49.9

INVESTMENT DRIVERS

- Global notebook shipment growth
- Touchpad, controller IC and fingerprint market share in notebooks
- Notebook peripheral IC content growth

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

RISKS TO PT/RATING

RISKS TO UPSIDE

- Notebook shipments stronger than expected.
- AI PCs help content growth in notebook peripheral ICs.
- e-book controller IC ramps up faster than expected.

RISKS TO DOWNSIDE

- Notebook replacement cycle extends, shipments lower than expected.
- No spec upgrade in notebook peripheral ICs in AI PC era.
- No progress in e-book controller IC.

OWNERSHIP POSITIONING

Inst. Owners, % Active 71.6%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

EPS (NT\$) 9.15 9.60 10.49

Net income (NT\$, mn) 2,606 2,829 3,004 3,188

Sales / Revenue (NT\$, mn) 13,013 13,473 13,886 14,175

EBIT (NT\$, mn) 3,045 3,300 3,535 3,725

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Elan: Financial Summary

Exhibit 10: Elan Micro: Financial Summary

Income Statement					Cash Flow Statement				
NT\$m (Years End Dec)	2025	2026e	2027e	2028e	NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Net sales	12,326	13,886	15,901	16,713	Cashflow from Operations	2,650	2,866	3,383	3,574
COGS	(6,330)	(7,051)	(7,993)	(8,696)	Net profits	2,442	3,004	3,528	3,568
Gross profit	5,996	6,836	7,902	8,017	Depreciation	147	151	156	161
Operating expenses	(3,014)	(3,300)	(3,572)	(3,622)	Working Capital Change	102	(290)	(301)	(154)
Operating income	2,982	3,535	4,330	4,395	Other adjustments	(41)	0	0	0
Non-operating income	(132)	254	187	176	Cashflow from Investing	(2,253)	(591)	(640)	(693)
Pre-tax income	2,850	3,789	4,517	4,571	Capex	(1,709)	(591)	(640)	(693)
Income tax	543	901	1,123	1,143	Change of LT Investment	(35)	0	0	0
Net Income, Cont Ops	2,307	2,888	3,388	3,428	Change of ST Investment	(27)	0	0	0
Minority Interest	135	117	140	140	Other adjustments	(481)	0	0	0
Reported net income	2,442	3,004	3,528	3,568	Cashflow from financing	(1,269)	(1,638)	(2,015)	(2,366)
Adj. vtd. avg. shrs (million)	286	286	286	286	Increase in L/T debt	500	0	0	0
Reported EPS (NT\$)	8.53	10.49	12.32	12.46	Increase in S/T debt	70	0	0	0
Modelware Diluted EPS (NT\$)	8.46	10.46	12.32	12.46	Cash Dividend Paid	(1,835)	(1,638)	(2,015)	(2,366)
					Div & Emp Bonus Paid	0	0	0	0
					Issuance of stock	16	0	0	0
					Other adjustments	(20)	0	0	0
					Exchange rate adjustment	(1)	0	0	0
					Net change in cash	-873	637	728	516
Balance Sheet					Financial Ratios				
NT\$m (Years End Dec)	2025	2026e	2027e	2028e		2025	2026e	2027e	2028e
Cash	2,400	3,037	3,765	4,261	Growth(%)				
Mkt Securities	380	380	380	380	Turnover	-2.9	12.7	14.5	5.1
AP/INR	1,236	1,388	1,590	1,671	Operating profits	-2.7	18.5	22.5	1.5
Inventory	1,583	1,854	2,103	2,267	Pretax profits	-12.9	32.9	19.2	1.2
Other	2,411	2,411	2,411	2,411	Net profits	-10.7	23.0	17.4	1.1
Current Assets	8,010	9,070	10,249	11,030	EPS	-10.9	23.7	17.8	1.1
Long-term investments	1,901	1,901	1,901	1,901	Margins (%)				
Fixed assets	4,398	4,837	5,321	5,853	Gross Margin	48.6	49.2	49.7	48.0
Deferred assets	53	53	53	53	Operating Margin	24.2	25.5	27.2	26.3
Other assets	1,210	1,210	1,210	1,210	Pretax Margin	23.1	27.3	28.4	27.3
Total Assets	15,572	17,072	18,735	20,047	Net Profit	19.8	21.6	22.2	21.3
S/T borrowings	200	200	200	200	Return (%)				
AP/INP	982	1,115	1,265	1,376	ROAE	23.9	27.0	28.0	25.6
Other ST liabilities	1,976	1,976	1,976	1,976	ROAA	16.0	18.4	19.7	18.4
LT debt	969	969	969	969	Gearing (%)				
Other LT liabilities	990	990	990	990	Net Debt/Equity	(21.0)	(24.0)	(26.7)	(28.1)
Common shares	3,039	3,039	3,039	3,039	Liabilities/Equity	48.9	44.4	40.5	37.9
Total Liabilities	5,116	5,250	5,400	5,510	Ratios (X)				
Additional capital	3,467	3,467	3,467	3,467	Current ratio	2.5	2.8	3.0	3.1
Retained earning	3,877	5,244	6,757	7,959	Quick ratio	1.2	1.3	1.6	1.7
Other shareholders' equity	72	72	72	72	Others				
Total Equity	10,456	11,822	13,335	14,537	AP/INR Turnover (days)	36	36	36	36
Total Liab. & Shrhldr's Equity	15,572	17,072	18,735	20,047	Inventory Turnover (days)	96	96	96	96
					AP Turnover (days)	58	58	58	58
					Cash Conversion (days)	75	75	75	75

© = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Source: Company data, Morgan Stanley Research (e) estimates

Realtek: Earnings Estimate Revisions

We adjust 2026/27/28 EPS by +21%/+31%/+26%, respectively: We revise up our earnings/PT thanks to the sustained 3Q outlooks (both revenue and GM). For 3Q, we believe the PC semis customers could maintain a flattish Q/Q procurement target, with key components (e.g. CPU) showing further sequential growth. We think the major driver could be the FOMP (fear of missing procurement), which is driven by the overall mature foundry and OSAT tightness (limited supply and cost hikes). We also think some customers may consider the low inventory risks if there's pent-up demand into 2027.

Exhibit 11: Realtek: Estimate revisions

(NT\$ mn)	New '26e	Old '26e	Diff.	New '27e	Old '27e	Diff.	New '28e	Old '28e	Diff.
Net sales	156,709	146,001	7%	160,658	148,697	8%	162,724	154,506	5%
COGS	79,554	74,330		82,304	77,243		83,198	80,714	
Gross profit	77,155	71,671	8%	78,354	71,454	10%	79,526	73,793	8%
Operating expenses	54,021	52,964		54,415	53,518		54,684	54,355	
Operating profit	23,134	18,706	24%	23,939	17,936	33%	24,841	19,438	28%
Non-op. income (exp.)	2,517	2,517		1,731	1,731		1,143	1,143	
Pretax income	25,650	21,223	21%	25,669	19,667	31%	25,984	20,580	26%
Taxes	3,749	3,084		3,850	2,950		3,898	3,087	
Net income	21,902	18,139	21%	21,819	16,717	31%	22,086	17,493	26%
Reported EPS	42.71	35.37	21%	42.54	32.60	31%	43.06	34.11	26%
Margins									
Gross margin	49.2%	49.1%	0.1%	48.8%	48.1%	0.7%	48.9%	47.8%	1.1%
Operating margin	14.8%	12.8%	1.9%	14.9%	12.1%	2.8%	15.3%	12.6%	2.7%
Pretax margin	16.4%	14.5%	1.8%	16.0%	13.2%	2.8%	16.0%	13.3%	2.6%
Net margin	14.0%	12.4%	1.6%	13.6%	11.2%	2.3%	13.6%	11.3%	2.3%
Opex %	34.5%	36.3%	-1.8%	33.9%	36.0%	-2.1%	33.6%	35.2%	-1.6%

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 12: Realtek: Quarterly financial statements

(NT\$ mn)	1Q26	2Q26e	3Q26e	4Q26e	1Q27e	2Q27e	3Q27e	4Q27e	1Q28e	2Q28e	3Q28e	4Q28e	2025	2026e	2027e	2028e
Total Revenues	36,423	38,311	40,921	41,055	37,964	41,285	43,856	37,554	37,381	40,374	43,129	41,839	122,706	156,709	160,658	162,724
Sequential Change	38.6%	5.2%	6.8%	0.3%	-7.5%	8.7%	6.2%	-14.4%	-0.5%	8.0%	6.8%	-3.0%	8.2%	27.7%	2.5%	1.3%
Change vs Year Ago	4.0%	20.0%	38.6%	56.2%	4.2%	7.6%	7.2%	-8.5%	-1.5%	-2.2%	-1.7%	11.4%				
Cost of Sales	18,336	19,374	20,804	21,041	19,484	21,182	22,519	19,119	19,212	20,717	21,992	21,277	61,333	79,554	82,304	83,198
Percent of Revenues	50%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	51%	50%	51%	51%	51%
Gross Profit	18,087	18,937	20,117	20,014	18,480	20,102	21,337	18,435	18,170	19,657	21,136	20,562	61,374	77,155	78,354	79,526
Percent of Revenues	49.7%	49.4%	49.2%	48.8%	48.7%	48.7%	48.7%	49.1%	48.6%	48.7%	49.0%	49.1%	50.0%	49.2%	48.8%	48.9%
Incremental Margin	54%	45%	45%	-77%	NM	49%	48%	NM	NM	50%	54%	NM	45%	46%	30%	57%
Total Opex	13,755	13,836	13,683	12,747	13,764	14,179	14,026	12,446	13,706	14,108	13,975	12,895	47,014	54,021	54,415	54,684
Percent of Revenues	37.8%	36.1%	33.4%	31.0%	36.3%	34.3%	32.0%	33.1%	36.7%	34.9%	32.4%	30.8%	38.3%	34.5%	33.9%	33.6%
Operating Income	4,332	5,101	6,434	7,267	4,715	5,923	7,312	5,989	4,464	5,549	7,162	7,667	14,360	23,134	23,939	24,841
Percent of Revenues	11.9%	13.3%	15.7%	17.7%	12.4%	14.3%	16.7%	15.9%	11.9%	13.7%	16.6%	18.3%	11.7%	14.8%	14.9%	15.3%
Total Non-operating Income (Loss)	646	646	646	580	433	433	433	286	286	286	286	286	2,901	2,517	1,731	1,143
Profit Before Taxes	4,977	5,746	7,080	7,847	5,148	6,356	7,744	6,421	4,749	5,834	7,448	7,953	17,261	25,650	25,669	25,984
Percent of Revenues	14%	15%	17%	19%	14%	15%	18%	17%	13%	14%	17%	19%	14%	16%	16%	16%
Taxes	648	862	1,062	1,177	772	953	1,162	963	712	875	1,117	1,193	2,507	3,749	3,850	3,898
Tax Rate	13.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	15.0%	14.5%	14.6%	15.0%	15.0%
Reported Income (TW GAAP)	4,330	4,884	6,018	6,670	4,376	5,402	6,583	5,458	4,037	4,959	6,330	6,760	14,753	21,902	21,819	22,086
Percent of Revenues	11.9%	12.7%	14.7%	16.2%	11.5%	13.1%	15.0%	14.5%	10.8%	12.3%	14.7%	16.2%	12.0%	14.0%	13.6%	13.6%
Change vs Year Ago	-9%	25%	76%	151%	1%	11%	9%	-18%	-8%	-8%	-4%	24%	-4%	48%	0%	1%
Reported EPS (NT\$, TW GAAP)	8.44	9.52	11.73	13.01	8.53	10.53	12.84	10.64	7.87	9.67	12.34	13.18	28.77	42.71	42.54	43.06
Change vs Year Ago	-9%	25%	76%	151%	1%	11%	9%	-18%	-8%	-8%	-4%	24%	-4%	48%	0%	1%

Source: Company data, Morgan Stanley Research (e) estimates

Realtek: Valuation Methodology

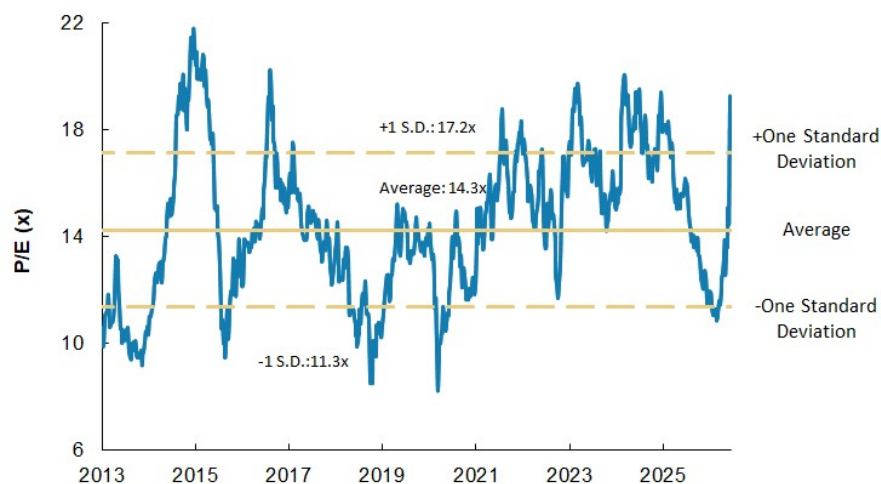
We raise our price target from NT\$570 to NT\$717: We factor in changes to our earnings estimates for 2025-27 while we keep other RI parameters unchanged. We keep our cost of equity at 9.6%, intermediate growth rate of 7.3%, payout ratio of 79% and terminal growth rate of 4.5%. Our bull case is raised to NT\$1,117 from NT\$840, and bear case is raised to NT\$517 from NT\$350.

Exhibit 13: Realtek: RI model

(NT\$ mn)	2026e	2027e	2028e	2029e	2030e	2031e	2032e	2033e	2034e	2035e	2036e
Total Equity	62,054	65,970	70,221	77,025	84,323	92,150	100,546	109,551	119,210	129,571	140,683
Net Profit	21,902	21,819	22,086	23,690	25,410	27,255	29,233	31,356	33,632	36,074	38,693
ROAE	38.3%	34.1%	32.4%	32.2%	31.5%	30.9%	30.3%	29.8%	29.4%	29.0%	28.6%
Residual Income	15,006	15,198	15,068	15,859	16,871	17,956	19,119	20,366	21,702	23,135	24,671
Spread	28.7%	24.5%	22.8%	22.6%	21.9%	21.3%	20.7%	20.3%	19.8%	19.4%	19.0%
Ending Equity Capital	62,054										
PV of Forecast Period	103,847										
PV of Continuing Value	201,685										
Equity Value	367,587										
No. of Shares	513										
Projected Price	717										

Source: Company data, Morgan Stanley Research (e) estimates

Exhibit 14: Realtek: Historical P/E



Source: Factset, Morgan Stanley Research estimates

Risk Reward – Realtek Semiconductor (2379.TW)

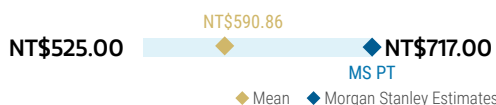
Demand and margin facing pressure; EW

PRICE TARGET NT\$717.00

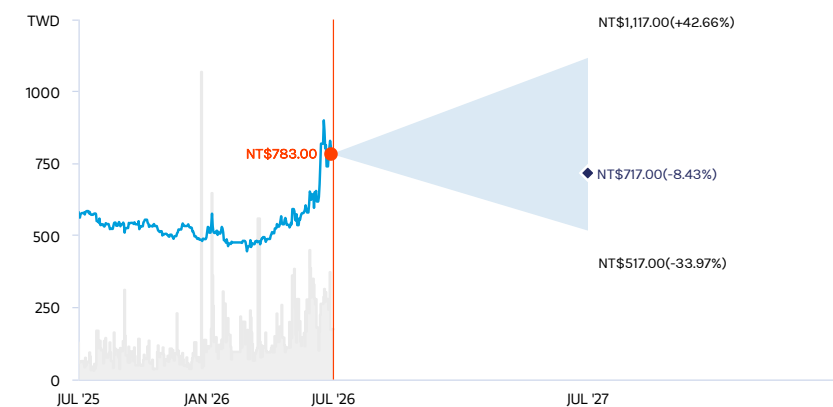
Base case, residual income model. We assume a cost of equity of 9.6%, an intermediate growth rate of 7.3%, payout ratio of 79%, and terminal growth rate of 4.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



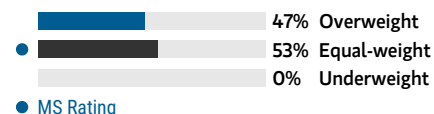
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Strong 1Q26 shipments may be a result of pre-stocking; momentum in 2H could be weaker or below seasonality. Gross margin is under pressure from component price hikes.
- We believe Realtek could benefit from China's semi localization for auto Ethernet. There are no suitable local players, and Realtek has penetrated EU and US brands since 2018.
- AI glasses are another secular growth driver; Realtek's AI glasses solution could drive down BOM cost 70-80% vs. the current solution from US peer Qualcomm.
- We view the current 2026e P/E as fair relative to our implied target P/E of 17x.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Electric Vehicles: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

NT\$1,117.00

26x 2026e EPS

PC and consumer tech orders become stronger, switch/Bluetooth demand recovery comes earlier and is stronger, and higher costs and competition fade away: 1) Wi-Fi to show 30% Y/Y increase in 2026; 2) Ethernet +40% Y/Y in 2026; 3) switches to increase 40% Y/Y; 4) audio Codec +15% Y/Y; 5) gross margin goes to 52% in 2026, as margin erosion from pricing pressure is minimal.

BASE CASE

NT\$717.00

17x 2026e EPS

For 2026, we expect a modest PC decline owing to component price hikes and a GM decline from cost pass-through without markups: 1) Wi-Fi to show 19% Y/Y increase in 2026; 2) Ethernet +30% Y/Y in 2026; 3) switches to increase 27% Y/Y; 4) audio Codec +6% Y/Y; 5) gross margin declines to 49% in 2026, vs 50% in 2025.

BEAR CASE

NT\$517.00

12x 2026e EPS

PC and consumer tech orders become weaker, switch/Bluetooth demand recovery comes later and weaker; margin erosion from pricing pressure, higher costs and pricing competition becomes more severe: 1) Wi-Fi -17% Y/Y in 2026; 2) Ethernet -10% Y/Y in 2026; 3) switches flat Y/Y; 4) audio Codec -30% Y/Y; 5) gross margin declines to 48% in 2026, as margin erosion from pricing pressure intensifies.

Risk Reward – Realtek Semiconductor (2379.TW)

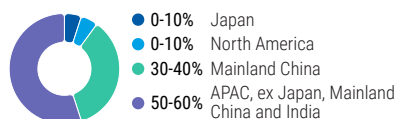
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
1. Wifi Sales (%) (%)	29.3	27.4	22.5	19.3
2. Ethernet Sales (%) (%)	5.8	5.9	5.7	5.8
3. Switch Sales (%) (%)	18.1	18.0	16.2	14.8
4. Bluetooth Sales (%) (%)	6.1	5.6	4.3	3.5
5. TV SoC (%) (%)	12.9	12.9	19.1	19.3

INVESTMENT DRIVERS

- Diversifying its exposure to PCs
- Eased Wi-Fi margin pressure
- Continued growth in IoT business
- New growth driver from auto Ethernet

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Stronger-than-expected Wi-Fi growth
- Faster-than-expected new product growth
- Faster-than-expected adoption for auto Ethernet
- Fading PC semi inventory corrections

RISKS TO DOWNSIDE

- Weaker-than-expected Wi-Fi growth
- Slower-than-expected new product growth
- Slower-than-expected margin recovery given ongoing pricing competition
- Further TV SoC project losses in China
- Slower-than-expected adoption for auto Ethernet

OWNERSHIP POSITIONING

Inst. Owners, % Active 74.7%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (NT\$, mn) 131,259 140,205 156,709

EBITDA (NT\$, mn) 17,826 20,411 24,716

Net income (NT\$, mn) 14,129 16,549 21,902

EPS (NT\$) 27.42 32.15 42.71

◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Realtek: Financial Summary

Income Statement

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Net sales	122,706	156,709	160,658	162,724
COGS	(61,333)	(79,554)	(82,304)	(83,198)
Gross profit	61,374	77,155	78,354	79,526
Operating expenses	(47,014)	(54,021)	(54,415)	(54,684)
Operating income	14,360	23,134	23,939	24,841
Non-operating income	2,901	2,517	1,731	1,143
Pre-tax income	17,261	25,650	25,669	25,984
Income tax	1,476	2,165	2,041	2,066
Net Income bf. emp. bonus	18,737	27,815	27,710	28,050
Employee bonus expense	3,983	5,913	5,891	5,963
Reported net income	14,753	21,902	21,819	22,086
Adj. wtd. avg. shrs (million)	513	513	513	513
Reported EPS (NT\$)	28.77	42.71	42.54	43.06
Modelware Diluted EPS (NT\$)	28.77	42.71	42.54	43.06

Balance Sheet

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Cash	13,066	17,935	19,939	22,569
Mkt Securities	48,310	48,310	48,310	48,310
AR/INR	15,011	19,129	19,611	19,864
Inventory	19,561	21,445	22,187	22,428
Other	1,409	1,409	1,409	1,409
Current Assets	97,357	108,229	111,456	114,579
Long-term investments	14,175	14,175	14,175	14,175
Fixed assets	10,605	11,665	12,832	14,115
Deferred assets	506	506	506	506
Other assets	7,260	7,260	7,260	7,260
Total Assets	129,903	141,835	146,229	150,636
S/T borrowings	10,090	10,090	10,090	10,090
AP/INP	11,738	13,828	14,306	14,461
Other ST liabilities	52,928	52,928	52,928	52,928
LT debt	0	0	0	0
Other LT liabilities	2,935	2,935	2,935	2,935
Common shares	5,155	5,155	5,155	5,155
Total Liabilities	77,691	79,781	80,259	80,415
Additional capital	10,506	10,506	10,506	10,506
Retained earning	33,733	43,575	47,491	51,742
Other shareholders' equity	2,818	2,818	2,818	2,818
Total Equity	52,212	62,054	65,970	70,221
Total Liab. & Shrhldr's Equity	129,903	141,835	146,229	150,636

e = Morgan Stanley Research Estimates

Source: Morgan Stanley Research, Company Data

Cash Flow Statement

NT\$m (Years End Dec)	2025	2026e	2027e	2028e
Cashflow from Operations	23,015	19,571	22,703	23,427
Net profits	14,753	21,902	21,819	22,086
Depreciation	1,536	1,582	1,629	1,678
Working Capital Change	(3,410)	(3,913)	(745)	(338)
Other adjustments	10,136	0	0	0
Cashflow from Investing	(16,380)	(2,643)	(2,796)	(2,962)
Capex	(2,089)	(2,643)	(2,796)	(2,962)
Change of LT Investment	(11,917)	0	0	0
Change of ST Investment	0	0	0	0
Other adjustments	(2,374)	0	0	0
Cashflow from financing	(7,616)	(12,060)	(17,903)	(17,835)
Increase in L/T debt	0	0	0	0
Increase in S/T debt	5,590	0	0	0
Cash Dividend Paid	(13,078)	(12,060)	(17,903)	(17,835)
Dir& Emp Bonus Paid	0	0	0	0
Issuance of stock	0	0	0	0
Other adjustments	(128)	0	0	0
Exchange rate adjustment	(766)	0	0	0
Net change in cash	-1,747	4,869	2,004	2,630

Financial Ratios

	2025	2026e	2027e	2028e
Growth(%)				
Turnover	8.2	27.7	2.5	1.3
Operating profits	6.4	61.1	3.5	3.8
Pretax profits	5.6	48.6	0.1	1.2
Net profits	-3.5	48.5	-0.4	1.2
EPS	-3.5	48.5	-0.4	1.2
Margins (%)				
Gross Margin	50.0	49.2	48.8	48.9
Operating Margin	11.7	14.8	14.9	15.3
Pretax Margin	14.1	16.4	16.0	16.0
Net Profit	12.0	14.0	13.6	13.6
Return (%)				
ROAE	28.1	38.3	34.1	32.4
ROAA	12.1	16.1	15.1	14.9
Gearing (%)				
Net Debt/Equity	(5.7)	(12.6)	(14.9)	(17.8)
Liabilities/Equity	148.8	128.6	121.7	114.5
Ratios (X)				
Current ratio	1.3	1.4	1.4	1.5
Quick ratio	0.4	0.5	0.5	0.5
Others				
AR/INR Turnover (days)	45	45	45	45
Inventory Turnover (days)	98	98	98	98
AP Turnover (days)	63	63	63	63
Cash Conversion (days)	80	80	80	80

Valuation Methodology and Risks

Novatek (3034.TW)

Base case, residual income model. Key assumptions: cost of equity constant at 9.8% (2.0% risk-free rate, 6% risk premium, 1.3 beta), payout ratio of 80%, medium-term growth rate of 6.1% and terminal growth rate assumption of 3.4%.

Risks to Upside

- Faster-than-expected 8K/4K TV growth.
- Better-than-expected smartphone sell-through.
- Better-than-expected sell-through of foldable products.

Risks to Downside

- Intensified price competition in TDDI, driving Novatek's gross margin below its corporate average.
- Slower-than-expected 8K/4K TV growth.
- Slower sell-through of foldable products.

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Elan Microelectronics Corp (2458.TW) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 4/29/24 : O/A; 7/21/24 : O/I; 4/8/25 : E/I; 7/14/25 : E/A; 10/3/25 : O/A

Price Target History: 4/29/24 : 200; 8/12/24 : 180; 3/2/25 : 190; 4/8/25 : 126; 8/7/25 : 120; 10/3/25 : 150; 11/10/25 : 145; 3/11/26 : 160; 6/9/26 : 180

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Novatek (3034.TW) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/1/21 : U/I; 10/12/21 : U/C; 10/4/22 : U/A; 2/22/23 : E/I; 7/7/23 : E/A; 2/5/24 : U/A; 3/18/24 : O/A; 7/21/24 : O/I; 7/14/25 : O/A; 11/10/25 : E/A; 2/4/26 : U/A

Price Target History: 5/20/21 : 414; 10/21/21 : 313; 5/4/22 : 272; 6/21/22 : 262; 7/12/22 : 174; 8/5/22 : 161; 2/22/23 : 390; 5/9/23 : 414; 8/8/23 : 399; 9/11/23 : 430; 2/5/24 : 414; 3/18/24 : 666; 11/6/24 : 580; 2/3/25 : 630; 2/13/25 : 640; 5/7/25 : 610; 7/1/25 : 600; 8/6/25 : 550; 11/10/25 : 380; 2/4/26 : 323; 5/8/26 : 414

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Parade Technologies Ltd (4966.TWO) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/1/21 : O/I; 10/12/21 : O/C; 7/12/22 : E/C; 10/4/22 : O/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/23 : E/A; 1/23/24 : O/A; 6/4/24 : U/A; 7/21/24 : U/I; 7/14/25 : U/A; 9/10/25 : E/A; 10/3/25 : O/A; 1/30/26 : E/A; 5/27/26 : O/A

Price Target History: 4/28/21 : 1700; 8/5/21 : 2120; 2/9/22 : 2215; 7/12/22 : 1150; 8/3/22 : 870; 9/13/22 : 717; 10/7/22 : 960; 10/31/22 : 825; 2/22/23 : 1125; 3/30/23 : 1200; 4/26/23 : 1140; 5/30/23 : 1115; 7/21/23 : 911; 8/9/23 : 822; 11/1/23 : 885; 1/23/24 : 1280; 4/23/24 : 999; 6/4/24 : 666; 4/8/25 : 445; 4/24/25 : 440; 8/8/25 : 450; 9/10/25 : 747; 10/3/25 : 888; 11/10/25 : 780; 1/30/26 : 570; 2/11/26 : 530; 5/27/26 : 1000

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target — No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Realtek Semiconductor (2379.TW) - As of 07/04/26 GMT in TWD
Industry : Greater China Technology Semiconductors



Stock Rating History: 7/1/21 : O/I; 10/12/21 : O/C; 2/24/22 : E/C; 10/4/22 : E/A; 12/13/22 : U/A; 2/22/23 : O/I; 7/7/23 : O/A; 7/21/24 : O/I; 9/15/24 : U/I; 6/19/25 : O/I; 7/14/25 : O/A; 1/30/26 : E/A

Price Target History: 5/20/21 : 606; 7/26/21 : 666; 10/12/21 : 566; 2/24/22 : 505; 4/22/22 : 450; 7/12/22 : 333; 7/28/22 : 350; 9/13/22 : 313; 10/28/22 : 244; 12/13/22 : 239; 2/22/23 : 450; 5/30/23 : 433; 7/21/23 : 490; 10/23/23 : 470; 1/23/24 : 520; 2/1/24 : 540; 2/23/24 : 616; 3/11/24 : 707; 9/15/24 : 420; 1/14/25 : 425; 2/18/25 : 475; 6/19/25 : 650; 11/10/25 : 580; 1/30/26 : 550; 4/30/26 : 570

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/03/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$97.77
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb413.69
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$144.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$4,650.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$682.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,353.00
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,040.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,255.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$539.00
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$178.00
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$641.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$335.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb98.39
MediaTek (2454.TW)	O (11/28/2025)	NT\$4,195.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb738.38
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$409.50
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb816.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb102.30
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,295.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb139.60
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$605.00
SMIC (0981.HK)	O (10/21/2025)	HK\$77.60
TSMC (2330.TW)	O (02/07/2022)	NT\$2,445.00
UMC (2303.TW)	O (05/19/2026)	NT\$170.50
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$193.50
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$411.00

Daisy Dai, CFA

ASMP T Ltd (0522.HK)	O (07/24/2025)	HK\$204.80
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb83.60
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$184.00
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb102.77
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb47.25
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb325.40
Innoscence (2577.HK)	E (10/13/2025)	HK\$60.65
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb90.88
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$30.92
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb145.60
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb129.35
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb81.76
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb30.59
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb129.46

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$987.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,530.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,265.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$117.50
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb120.11
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb677.77
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$142.50
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$382.60
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb266.80
Novatek (3034.TW)	U (02/04/2026)	NT\$538.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$176.50
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$654.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$73.40
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$783.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb59.03
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$184.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$110.00
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$221.50

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb178.80
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb618.02

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,030.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$581.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$13.15
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,865.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$7,380.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$300.71
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$9,900.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.